

GASB Statement #34

Capital Assets & Depreciation Guidance

August 31, 2001

The following questions and answers are intended to be informative only, not directional. Each government entity may face different issues/situations that should be resolved based on the particular facts, circumstances, and materiality levels of that entity.

1. Capital Assets Definition

Capital assets include: land, land improvements, buildings, building improvements, construction in progress, machinery and equipment, vehicles, infrastructure, easements, and works of art and historical treasures. A capital asset is to be reported and, with certain exceptions, depreciated in government-wide statements. In the government-wide statements, assets that are not capitalized are expended in the year of acquisition.

Infrastructure assets are long-lived capital assets that normally can be preserved for a significant greater number of years than most capital assets and that are normally stationary in nature. Examples include roads, bridges, tunnels, drainage systems, water systems, and dams. Infrastructure assets do not include buildings, drives, parking lots or any other examples given above that are incidental to property or access to the property.

2. Information Needed for an Inventory Record

Governmental entities should develop strategies to ensure they have an accurate, complete, and up-to-date record of capital assets. Each government entity should have such an inventory beginning in 1980 when NCGA Statement No.1 created the General Fixed Asset Account Group. Completeness and accuracy should be ensured through physical counts, review of purchase records, prior inventory count records, listings maintained by other government agencies, and other methods deemed necessary.

Governmental entities will need to devise a method to determine historical costs or estimated historical cost of capital assets on hand. Future asset acquisition will be valued at the acquisition cost for purchased items and donated items will be capitalized at fair market value on the donated date.

Each governmental entity should have an inventory of all capital assets. Each inventory record should include: description, year of acquisition, method of acquisition (e.g., purchase, donation, etc.), funding source, cost or estimated cost, salvage value, and estimated useful life. The inventory record will also need to identify the function(s) that use the asset.

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3. Recording Land

Land is to be capitalized but not depreciated. It is recorded at historical cost and remains at that cost until disposal. If there is a gain or loss on the sale of land, it is reported as a special item in the statement of activities.

4. Recording Land Improvements

Land improvements include items such as excavation, non-infrastructure utility installation, driveways, sidewalks, parking lots, flagpoles, retaining walls, fencing, outdoor lighting, and other non-building improvements intended to make the land ready for its intended purpose. Land improvements can be further categorized as non-exhaustible and exhaustible.

Non-Exhaustible - Expenditures for improvements that do not require maintenance or replacement, expenditures to bring land into condition to commence erection of structures, expenditures for improvements not identified with structures, and expenditures for land improvements that do not deteriorate with use or passage of time are additions to the cost of land and are generally not exhaustible and therefore not depreciable.

Exhaustible - Other improvements that are part of a site, such as parking lots, landscaping and fencing, are usually exhaustible and are therefore depreciable. Depreciation of site improvements is necessary if the improvement is exhaustible.

5. Recording Buildings

Buildings should be recorded at either their acquisition cost or construction cost. The cost of new construction should be carefully evaluated. Usually projects consist of major components such as land, land improvements, building construction (including professional fees and permits), furniture, fixtures and equipment. In addition, buildings include components (e.g., roof, air conditioner system, etc.) that should be recorded separately when significant because these building components have different useful lives. The value of each component needs to be determined and placed within its own category.

6. Recording Building Improvements

Building improvements that extend the useful life should be capitalized. Governmental entities should therefore review major maintenance projects for the last several years to determine those that should become part of the restatement of assets for purposes of complying with Statement 34.

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Examples of building improvements include roofing projects, major energy conservation projects, or remodeling and replacing major building components. A governmental entity will need to determine the practicality of identification of these projects and prepare an inventory. The inventory will need to include a project description, the year completed, funding source and dollar amounts. Only those projects that meet the capitalization threshold need to be included. Further, as a practical matter, governmental entities should establish a cut off date for retroactive recognition of site and facility improvements. **It is recommended that governmental entities review projects for the last three to five years unless meaningful data are readily available for preceding years.**

7. Recording Construction in Progress

Construction in progress should be capitalized and not depreciated. It should be reported with land and other non-depreciating assets at the government-wide level. Unspent debt proceeds from capital assets related debt should be reported in the net assets section of the statement of net assets as “restricted for capital projects.”

8. Recording Machinery and Equipment

Assets such as furniture, machinery and equipment (that meet threshold levels) should be identified and inventoried. Some assets, individually, may fall below the capitalization threshold but may be purchased in large quantities by the governmental entity. Examples include library books, textbooks and computers. Governmental entities should aggregate such assets and consider the materiality and significance of them and if material or significant capitalize such items either individually or in the aggregate. (See question number 12 for applying threshold levels.)

9. Recording Library Books

If library books are considered to have a useful life of greater than one year, they are capital assets and are depreciable. Because most library collections consist of a large number of books with modest values, group or composite depreciation methods (as discussed in Depreciation Methods to Calculate an Asset's Depreciation) may be appropriate. In certain situations, library books may be considered works of art or historical treasures and could be reported using those provisions (see Recording Works of Art and Historical Treasures).

10. Recording Vehicles

Vehicles should be identified, inventoried, and if applicable depreciated.

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11. Recording Easements

An easement is an interest in land owned by another that entitles its holder to a specific limited use or enjoyment (right to use the land). Therefore, easements are not required to be reported in the financial statements unless the entity paid for the easement.

12. Recording Works of Art and Historical Treasures

Works of Art and Historical Treasures should be recorded at historical costs. Depreciation is not required for collections or works of art that are inexhaustible.

13. Establishing and Setting the Threshold Levels for Recording Capital Assets

GASB Statement #34 does not give a “complete” definition of a capital asset. Paragraph #19 is a good beginning in that it lists the many categories. But that is not enough. Estimated useful life, asset cost, associated debt, and exceptions must also be considered. An explanation of the other criteria and the threshold levels (1) for tracking and inventory purposes and (2) for capitalizing and depreciating are

Estimated Useful Life - The first criterion is useful life. An asset must have an estimated useful life greater than one reporting period to be considered for capitalization and depreciation. Assets that are consumed, used-up, habitually lost or worn-out in one year or less should not be capitalized.

Estimated useful life means the estimated number of months or years that an asset will be able to be used for the purpose for which it was purchased. In determining useful life, governmental entities should consider the asset’s present condition, use of the asset, construction type, maintenance policy, and how long it is expected to meet service demands.

Asset Cost - The second criterion for determining depreciable capital assets is cost. Governmental entities do not need to capitalize every asset with a useful life greater than one year. To do so is an unnecessary burden and will not materially affect financial results. Governmental entities may wish to establish a dollar threshold as a basis for considering an asset for capitalization. Care should be taken when determining the threshold. A threshold that is too low may result in a burdensome record-keeping system. A threshold that is too high could cause material misstatement of the governmental entity’s financial condition. **It is recommended that**

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each government entity use Exhibits A-1 through A-3 for various capitalization thresholds for large, medium and small governmental entities.

Exhibit A-1 Governmental Entities with Revenues Less Than \$10 million

	<u>Tracking and Inventory</u>	<u>Capitalize and Depreciate</u>
Land	\$1	Capitalize only
Land Improvements	\$1	\$12,500
Building	\$1	\$25,000
Building Improvements	\$1	\$25,000
Construction in Progress	\$1	Capitalize only
Machinery and Equipment	\$500	\$2,500
Vehicle	\$500	\$2,500
Infrastructure	\$25,000	\$100,000

Exhibit A-2 Governmental Entities with Revenues between \$10 and \$100 million

	<u>Tracking and Inventory</u>	<u>Capitalize and Depreciate</u>
Land	\$1	Capitalize only
Land Improvements	\$1	\$25,000
Building	\$1	\$50,000
Building Improvements	\$1	\$50,000
Construction in Progress	\$1	Capitalize only
Machinery and Equipment	\$1,000	\$5,000
Vehicle	\$1,000	\$5,000
Infrastructure	\$50,000	\$250,000

Exhibit A-3 Governmental Entities with Revenues exceeding \$100 million

	<u>Tracking and Inventory</u>	<u>Capitalize and Depreciate</u>
Land	\$1	Capitalize only
Land Improvements	\$1	\$50,000
Building	\$1	\$100,000
Building Improvements	\$1	\$100,000
Construction in Progress	\$1	Capitalize only
Machinery and Equipment	\$1,000	\$5,000
Vehicle	\$1,000	\$5,000
Infrastructure	\$100,000	\$3,000,000

Associated Debt - The third criterion is associated debt. Governmental entities should carefully consider the merits of capitalizing assets purchased with debt proceeds. Doing so may minimize the potential of negative net assets being reported in the statement of net assets.

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Exceptions - The capitalization policy should address all exceptions. For example:

- Unique items that you want to track and inventory regardless of the cost (e.g., weapons for police).
- Groups/classes of assets where individual asset items are less than the capitalization limit, but when all assets of that group are added together the dollar amount far exceeds the capitalization limit. These groups/classes of assets should be capitalized and depreciated. (e.g., library books in a public library).

14. Depreciation Definition

In accounting terms, depreciation is the process of allocating the cost of tangible property over a period of time, rather than deducting the cost as an expense in the year of acquisition. Generally, at the end of an asset's life, the sum of the amounts charged for depreciation in each accounting period (accumulated depreciation) will equal original cost less salvage value. Good accounting and financial management practices require that a government entity take both the cost expiration and the declining value of an asset into consideration. The cost expiration of a government entity's assets must be recognized if the cost of providing services is to be realistically reported. Also, the decline in the value of those assets must be considered if the government entity's net assets are to be stated correctly.

15. Information Needed to Calculate Depreciation

To calculate depreciation on a capital asset, the following five factors must be known:

- the date the asset was placed in service
- the asset's cost or acquisition value
- the asset's salvage value
- the asset's estimated useful life, and
- the depreciation method.

16. Obtaining an Asset's Cost or Acquisition Value

Capital Assets should be reported at historical cost and should include the cost of freight, site preparation, architect and engineering fees, etc. If something other than cash is used to pay for the asset, then the fair-market value of the non-cash payment or consideration determines the asset's cost or acquisition value. When the value of the consideration paid can't be determined, the asset's fair-market value determines its cost.

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With few exceptions, an asset's cost should also include necessary costs incurred to place the asset in service. Costs include the invoice price plus incidental costs (insurance during transit, freight, capitalized interest as described earlier, duties, title search, registration fees, and installation costs). Exceptions to this rule include interest expenses associated with deferred payments and real estate taxes paid, if any, in the acquisition of property.

17. Asset's Salvage Value

The salvage value of an asset is the value it is expected to have when it is no longer useful for its intended purpose. In other words, the salvage value is the amount for which the asset could be sold at the end of its useful life. This value can be based on (1) general guidelines from some professional organizations such as GFOA, ASBO, etc., (2) information from other governmental entities, (3) internal experience, or (4) professionals such as engineers, architects, etc.

18. Asset's Estimated Useful Life

Estimated useful life means the estimated number of months or years that an asset will be able to be used for the purpose for which it was purchased. Capital assets should be depreciated over their estimated useful lives and based on (1) Suggested Useful Lives table [click here to view](#); (2) general guidelines from some professional organizations such as GFOA, ASBO, etc.; (3) information from other state agencies such as DOTD and other governmental entities; (4) internal experience; or (5) professionals such as engineers, architects, etc.

It is difficult to come up with a "laundry list" of estimated useful lives for equipment when condition and usage are a factor. Let's take for example a school bus. A diesel bus is expected to last 250,000 miles. One school board could put 250,000 on that bus in seven years, while another school board will take 10 years. Therefore, **it is recommended that each government entity develop such a list from the 5 methods shown above.**

19. Depreciation Methods to Calculate an Asset's Depreciation

There are many different methods used to calculate depreciation. Some methods allow more depreciation in early years than in later years. Some apply the same percentage each year while the basis declines. Others apply different percentages each year while the basis remains the same.

Straight-line, sum-of-the-years'-digits, and some other depreciation methods require that the salvage value be subtracted from an asset's acquired value to determine its depreciable basis. Other methods, such as declining-balance, do not subtract the salvage value to determine the basis. However, the asset will not be depreciated below its salvage value.

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The same depreciation method is not required for all capital assets. Further, depreciation may be calculated for a class of assets, a group of assets or individual assets. Once a method for a particular asset is chosen, however, it must generally be used for the life of the asset. However, any established method of depreciation is acceptable by Statement 34. The straight-line and composite depreciation methods are described in greater detail below.

Straight-line Method

The straight-line method is the simplest and most commonly used for calculating depreciation. It can be used for any depreciable property. Under the straight-line depreciation method, the basis of the asset is written off evenly over the useful life of the asset. The same amount of depreciation is taken each year. In general, the amount of annual depreciation is determined by dividing an asset's depreciable cost by its estimated life.

The total amount depreciated can never exceed the asset's historic cost less salvage value. At the end of the asset's estimated life, the salvage value will remain.

For example, a \$12,000 copier is placed in service on March 16, 2000. It has an estimated life of five years and a salvage value of \$2,000. The depreciation calculation for the straight-line method would be:

Original cost	\$12,000
Salvage value	<u>2,000</u>
Adjusted basis	\$10,000
Estimated life	5
Depreciation per year	\$ 2,000

Composite Methods

Composite methods refer to depreciating a grouping of similar assets (for example, interstate highways in a state) or dissimilar assets of the same class (for example, all the roads and bridges of a state) using the same depreciation rate. Initially, a depreciation rate for the composite is determined. Annually, the determined rate is multiplied by the cost of the grouping of assets to calculate depreciation expense.

A composite depreciation rate can be calculated in different ways. The rate could be calculated based on a weighted average or on an unweighted average estimate of useful lives of assets in the composite. For example, the composite depreciation rate of three interstate highways with estimated remaining useful lives of sixteen, twenty, and twenty-four years could be calculated using an unweighted average estimated as follows:

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$$\frac{1}{(16 + 20 + 24)/3} = 5\% \text{ annual depreciation rate}$$

A composite depreciation rate may also be calculated based on an assessment of the useful lives of the grouping of assets. This assessment could be based on condition assessments or experience with the useful lives of the grouping of assets. For example, based on experience, engineers may determine that interstate highways generally have estimated remaining useful lives of approximately twenty years. In this case, the annual depreciation rate would be 5 percent.

The composite depreciation rate is generally used throughout the life of the grouping of assets. However, it should be recalculated if the composition of the assets or the estimate of average useful lives changes significantly. The average useful lives of assets may change as assets are capitalized or taken out of service.

The annual depreciation expense is calculated by multiplying the annual depreciation rate by the cost of the assets. For example, if the interstate highway subsystem cost \$100 million and the annual depreciation rate was 10 percent, then the annual depreciation charge would be \$10 million. Accumulated depreciation should not exceed the reported cost of the assets.

20. Depreciating an Asset that was not Purchased at the Beginning of a Fiscal Year

To avoid the complications of depreciating each asset from the specific date on which it was placed in service, GAAP supports guidelines that assume various assets are placed in service or disposed of at designated dates throughout the year. These guidelines are called averaging conventions.

There are five averaging conventions: (1) Full-Month convention, (2) Half-Year convention, (3) Modified Half-Year convention, (4) Mid-Month convention, and (5) Mid-Quarter convention. **It is recommended that governmental entities use the full-month convention.** The other conventions are described so business officials have an understanding of the available options.

21. Full-Month Convention

Under a full-month convention, property placed in service at any time during a given month is treated as if it had been placed in service on the first day of that month. This allows depreciation to be taken for the entire month in which the asset is placed in service. If the property is disposed of before the end of the estimated useful life, no depreciation is allowed for the month of disposition.

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22. Half-Year Convention

Under the half-year convention, an asset is treated as though it were placed in service or disposed of on the first day of the seventh month of the fiscal year. One-half of a full year's depreciation is allowed for the asset in its first year placed in service, regardless of when it was actually placed in service during that year. The half-year convention may be most appropriate for grouped assets such as library books or computers purchased throughout the year.

23. Modified Half-Year Convention

Under the modified half-year convention, assets placed in service during the first half of the year are considered to have been placed in service on the first day of the year. Therefore, they receive a full year's depreciation in the acquisition year. Assets placed in service during the second half of the year are considered to have been placed in service on the first day of the following year. Therefore, they receive no depreciation in the acquisition year but receive a full year's depreciation in the subsequent year.

Caution should be taken with adopting this averaging convention for large capital assets due to the possibility that misstatement of asset values and depreciation could occur.

Applying the modified half-year convention in the disposal year is slightly more complicated because the disposal-year allowance depends on the acquisition year allowance. The following table summarizes the relationships:

<u>If Asset was placed in Service in the</u>	<u>And disposed of in the</u>	<u>Depreciation allowed in the disposal year</u>
first half of the year	first half of the year	no depreciation
first half of the year	second half of the year	50% of a full year's depreciation
second half of the year	first half of the year	50% of a full year's depreciation
second half of the year	second half of the year	full year of depreciation

24. Mid-Month Convention

Under the mid-month convention, property is treated as though it were placed in service or disposed of in the middle of the month. A half-month's depreciation is allowed both in the month of acquisition and in the month of disposition. Generally, this means that if the asset is placed in service after the 15th of the month, no depreciation is taken for that month. If the asset

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is placed in service on or before the 15th of the month, a full month's depreciation is allowed. Similarly, if the asset is disposed of on or before the 15th of the month, no depreciation is taken for that month. If the asset is disposed of after the 15th of the month, a full month's depreciation is allowed.

25. Mid-Quarter Convention

The mid-quarter convention treats property as though it was placed in service in the middle of the quarter in which it was purchased.

26. Reporting Depreciation Expense in the Financial Statements

For general capital assets, depreciation is reported only on government-wide financial statements. Depreciation expense is reported on the Statement of Activities. Statement 34 requires that depreciation for assets specifically identified with specific functions is to be included in the direct expenses of those functions. Capital assets that serve essentially all functions are reported on a separate line or reported as part of the general administration (or its counterpart) function. If depreciation is reported as a separate line item, the face of the statement must clearly indicate that this line item excludes depreciation expense charged to functions.

It is recommended that a government entity not allocate the depreciation of a building that serves multiple (that is, more than just a few) functions or departments. However, if the government entity chooses to allocate, it is recommended that the allocation be based on square footage for the time used.

Depreciation expense for general infrastructure assets should not be allocated to the various functions. It should be reported as a direct expense of the function (for example, public works or transportation) that the reporting government normally associates with capital outlays for, and maintenance of, infrastructure assets or as a separate line in the statement of activities.

27. Reporting Capital Assets in the Financial Statements

Capital assets and the associated accumulated depreciation are reported in the Statement of Net Assets. Accumulated depreciation may be reported separately, or capital assets may be presented net of accumulated depreciation on the statement. Capital assets that are not being depreciated, such as land or infrastructure assets reported using the modified approach should be reported separately if the government has a significant amount of these assets. Capital assets also may be reported in greater detail, such as by major class of asset (for example, infrastructure, buildings and improvements, vehicles, machinery and equipment). **It is**

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recommended that all governmental entities report both the historical cost and accumulated depreciation in the face of the statement.

28. Infrastructure Assets -Determining Historical Cost or Estimated Historical Cost

Roads and Bridges (police juries and municipalities) -

Louisiana Department of Transportation and Development (DOTD) has available for parishes and municipalities the following:

- A summary of road types, inclusive of road miles, current replacement cost, estimated useful lives, and estimated depreciable costs
- A detail listing of roads
- Road inventory map of each parish
- A detail list of bridges with structure type, replacement type, length, width, year built, useful life, and estimated replacement cost

To obtain this information [click here](#).

After receiving the information from DOTD, review it to ensure all roads/bridges are included and the road type (gravel, asphalt, concrete, etc.) and bridge type is accurate.

To determine the estimated historical cost, use the approximate dates the roads/bridges were built (agencies will have to estimate these dates for "roads" but may use the DOTD dates for "bridges") and use the Highway Price Trends Index to deflate the estimated replacement cost, as provided by DOTD, to the estimated historical cost at the time of original construction. The web site where you can find the Highway Price Trend Index information is www.fhwa.dot.gov/ohim/hs99/tables/pt1.pdf.

[**Note:** An age which represents the average age for all roads and/or bridges of a similar sub-group (i.e., a grouping which has the same replacement cost and the same useful life) may be used to calculate the total historical cost of that sub-group. That sub-group may then be depreciated, as a sub-group, using that sub-group's useful life.]

Other infrastructure -

- Obtain a description/inventory of the asset.
- The initial capitalization amount should be based on historical cost. If determining historical cost is not practical because of inadequate records, estimated historical cost may be used.
- See GASB 34 paragraphs 158 through 160 for determining estimated historical cost—current replacement cost.

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Entities with total revenue of less than \$10million

A determination must be made whether to retroactively report infrastructure assets. GASB 34 paragraph 148, provides that governments with total annual revenues of less than \$10 million are encouraged but are not required to report major general infrastructure assets retroactively. This means that infrastructure assets that were acquired or significantly reconstructed, or that received significant improvements in fiscal years ending after June 30, 1980 to the beginning of the effective date of GASB 34 are encouraged to be reported but are not required to be reported.

Your consideration as to report these infrastructure assets should include:

- The omission of infrastructure assets may omit significant assets.
- There may be significant related debt for the infrastructure assets and it would be advantageous to include them.

29. Infrastructure Assets Not Required to be Depreciated

GASB 34 offers an exception to depreciation reporting for infrastructure assets (modified approach for reporting infrastructure assets) that are part of a network or subsystem of a network as long as two requirements are met.

- First, the government must manage the eligible infrastructure assets using an asset management system as follows:
 - Have an up-to-date inventory of eligible infrastructure assets
 - Perform condition assessments (should be documented in such a manner that they can be replicated) of the eligible infrastructure assets and summarize the results using a measurement scale
 - Estimate each year the annual amount to maintain and preserve the eligible infrastructure assets at the condition level established and disclosed by the government.
- Second, the government must document that the eligible infrastructure assets are being preserved approximately at (or above) a condition level established and disclosed by the government.
- If any of the conditions are not met, reporting must revert back to the depreciation method.
- Using the modified approach, expenditures that increase the capacity or efficiency of an infrastructure asset are capitalized, while all other expenditures that preserve the useful life of the assets are expensed.

30. Reporting and Recording Adjudicated Properties

Cities and parishes share a concern with adjudicated titles to real property. Adjudication of title takes place when unpaid ad valorem taxes exist and the property is offered at tax sale, but is not purchased. The city and/or parish then holds a perfected tax lien on the property to the extent of the taxes, penalties and interest. Subsequent ad valorem taxes accrue against the property while

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it is adjudicated to the public body. This property is always subject to redemption by the original owner. The public body must receive a court judgement to be placed in physical possession of the property should it be needed for governmental use. Even if the public body takes physical possession, it can never obtain a clear title that is not subject to redemption by the original owner. Since title to adjudicated properties effectively consists of a tax lien only, as opposed to clear title, such properties should not be recorded or reported as assets of the governmental entity.

31. Implementation Dates for GASB 34

The requirements of this Statement are effective in three phases based on total annual revenues in the first fiscal year ending after June 15, 1999 (earlier application is encouraged).

- Phase 1 governments - total annual revenues of \$100 million or more should apply the requirements of this Statement in financial statements for periods beginning after June 15, 2001. Should retroactively report all major general infrastructure assets for fiscal years beginning after June 15, 2005.
- Phase 2 governments - total annual revenues of \$10 million or more but less than \$100 million should apply the requirements of this Statement in financial statements for periods beginning after June 15, 2002.
- Phase 3 governments - total annual revenues of less than \$10 million should apply the requirements of this Statement in financial statements for periods beginning after June 15, 2003.

Prospective reporting of general infrastructure assets in the statement of net assets is required beginning at the effective dates above. Retroactive reporting of all major general infrastructure assets is encouraged at that date. However, the following dates are allowed to retroactively report infrastructure assets:

- Phase 1 governments should retroactively report all major general infrastructure assets for fiscal years beginning after June 15, 2005.
- Phase 2 governments should retroactively report all major general infrastructure assets for fiscal years beginning after June 15, 2006.
- Phase 3 governments are encouraged but are not required to report major general infrastructure assets retroactively.

We want to thank the Association of School Business Officials International for allowing us to use certain information from their publication, *GASB Statement No. 34 Implementation Recommendations for School Districts*.

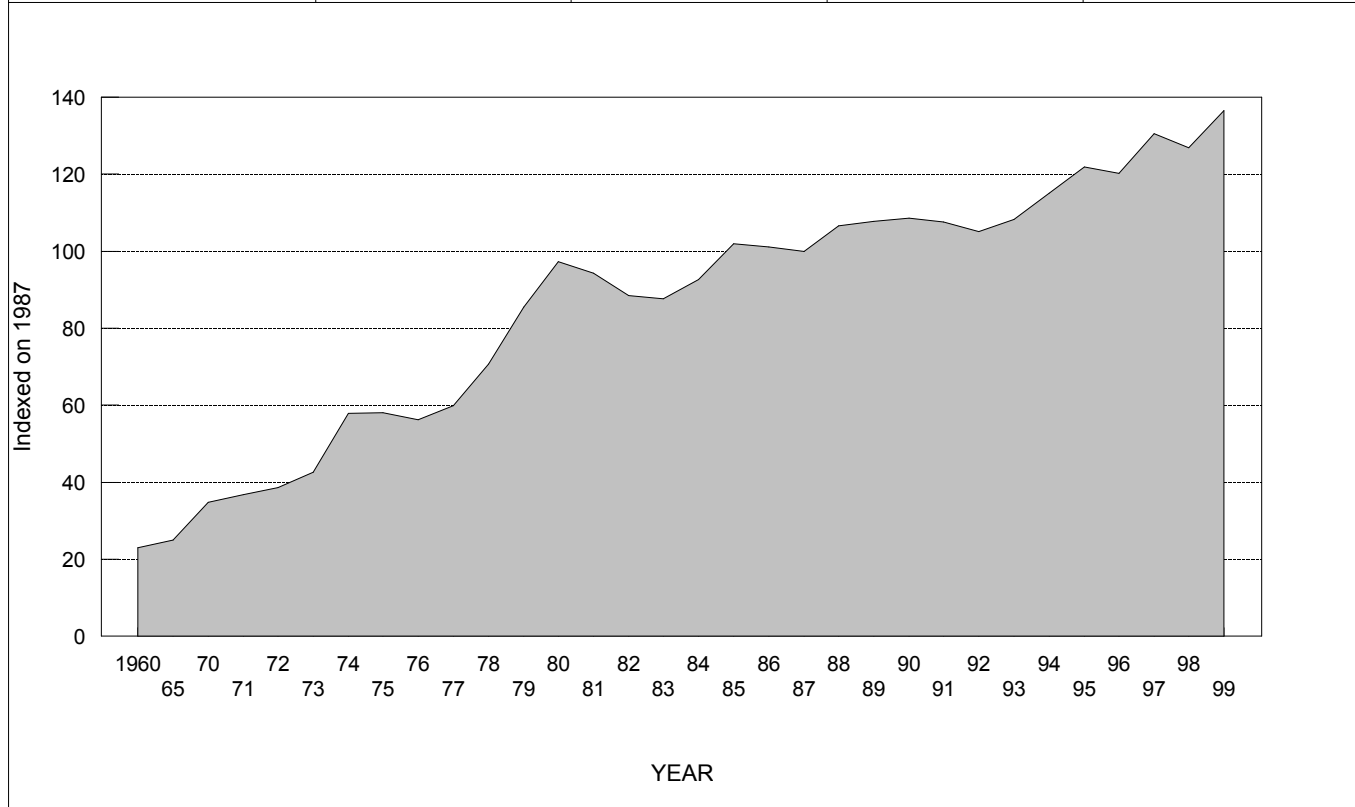
PRICE TRENDS FOR FEDERAL-AID HIGHWAY CONSTRUCTION 1/

OCTOBER 2000

1987 BASE YEAR = 100

TABLE PT-1

YEAR	EXCAVATION	RESURFACING	STRUCTURES	COMPOSITE
1960	16.1	27.0	21.7	23.0
1965	19.4	27.4	24.8	25.0
1970	27.2	34.0	38.2	34.8
1971	27.6	36.8	40.0	36.8
1972	29.7	39.5	40.7	38.6
1973	33.0	42.9	45.4	42.5
1974	41.2	60.0	61.7	57.9
1975	42.5	61.0	60.6	58.1
1976	42.5	60.3	57.2	56.3
1977	47.8	64.3	59.7	59.8
1978	63.5	73.3	70.7	70.7
1979	66.8	89.0	88.6	85.5
1980	75.5	102.2	100.0	97.2
1981	72.6	101.4	94.9	94.2
1982	65.6	95.3	90.0	88.5
1983	71.8	94.4	86.7	87.6
1984	78.4	102.7	88.2	92.6
1985	92.4	109.6	98.1	102.0
1986	94.0	107.0	98.0	101.1
1987	100.0	100.0	100.0	100.0
1988	112.2	99.8	111.0	106.6
1989	99.0	99.4	118.4	107.7
1990	98.1	102.3	117.8	108.5
1991	95.5	106.5	112.5	107.5
1992	90.8	106.9	108.4	105.1
1993	103.2	113.5	105.3	108.3
1994	113.2	122.3	109.0	115.1
1995	112.8	127.9	119.5	121.9
1996	120.6	118.7	121.6	120.2
1997	117.6	133.0	132.7	130.6
1998	124.3	120.8	133.4	126.9
1999	120.9	140.3	138.3	136.5



1/ Detailed information is available from the Federal Highway Administration in its quarterly publication "Price Trends for Federal-aid Highway Construction," prepared by the Office of Program Administration, Office of Infrastructure.

Capital Assets of Local Governments
Suggested Useful Lives

<u>Asset Type</u>	<u>Examples</u>	<u>Depreciable Life in years</u>
<u>Non-Infrastructure</u>		
Furniture, office equipment	Desks, tables, chairs	5
Computer Hardware	Monitors, CPU, printer	5
Telephone Equipment		10
Motor Vehicles		
Cars and light trucks		5
Busses	School, City	8-10
Fire trucks		15
Buildings - Temporary	T-buildings, other portable	25
Buildings		40
HVAC Systems	Air-conditioners, heating, ventilation systems	20
Roofing		20
Carpet Replacement		7
Electrical\Plumbing		30
Kitchen Equipment	Appliances	12
Heavy Construction Equipment	Backhoes, Trucks, Dozers, front-end loaders, Large Tractors	5-10
Engineering, Scientific Equipment	Lab Equipment	10
Firefighting Equipment	Ladder, hoses	10
Police Special Equipment		10
Medical Equipment		5
Traffic Control Equipment	Stoplights	10
Radio, communications equipment	Mobile, portable radios	10
Recreational\ Athletic Equipment	Weight machines, mats, golf carts, treadmills, tackling sled, pitching machines	10
Library Books	Collections	5-7
Artwork	Collections	5-7
Outdoor Equipment	Playground equipment, scoreboards, bleachers, radio towers	20
Custodial Equipment	Floor scrubbers, vacuums, other	12
Grounds Equipment	Mowers, tractors and attachments	15
Land Improvements - structure	Parking lots, sidewalks, bus ramp, fencing, running track, flagpole	20
Land Improvements - ground work	Golf Course, Ball field, park landscaping	30
Landfill Disposal Systems		25
Land		no depreciation
Sewerage treatment plants		25

Infrastructure

Easements	no depreciation
Drainage Systems	25
Water systems	25
Sewerage disposal Works System	25

Waterway

Levees and canals (unlined)	no depreciation
Canal lining	30
Dams	
Concrete	50
Steel, Sheetpile	30
Earthen embankment	no depreciation

Roads

Paved	40
Asphalt - rural	40
Asphalt - urban	20
Non-paved	50

ROADS AND BRIDGES INFRASTRUCTURE INFORMATION

(To learn how to use this information for implementing GASB 34, [click here](#).)

Louisiana Department of Transportation and Development has available for parishes and municipalities the following (click on each item to view an example):

- [A summary of road types, inclusive of road miles, current replacement cost, estimated useful lives, and estimated depreciable costs](#)
- [A detail listing of roads](#)
- [Road inventory map of each parish](#)
- [A detail list of bridges with structure type, replacement type, year built, length, width, useful life, and estimated replacement cost](#)

To obtain any or all of the above information, please complete the following request. LA DOTD will send the available information to you. Please allow LA DOTD fifteen working days to provide this information.

FIELD	INPUT	
* Your Name		
* Your Address		(Street or P.O. Box)
* Address Line 2		(City, State, and Zip code)
Your Email Address		
Your Phone		

I request the following for:

PARISH

MUNICIPALITY

☐ Summary of Roads

☐ Parish Road Inventory Map

☐ Detail Listing of Roads

☐ Detail List of Bridges

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